CHAPTER-5

RETIREMENT AND RE-EMPLOYMENT

(527 - 528)

CHAPTER 5

RETIREMENT AND RE-EMPLOYMENT

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I. RETIREMENT FROM SERVICE

(STATUTORY PROVISIONS)

Sl. No. 1

Retirement on Completion of Sixtieth Year of Age

A civil servant shall retire from service on the completion of the sixtieth year of his age.

[Authority:- Civil Servants Act, 1973, Section 13 (1) (ii).]

1.1 Authorities Competent to Accept Requests for Retirement

A reference is invited to the Establishment Division's Office Memorandum No. 1/2/67-CV, dated the 6th December, 1967 **(Annex)** in which it was stated that it was not necessary to submit requests for retirement on completion of 25 years' qualifying service to the ⋆President for orders where the appointing authority was the *President. This was so because government had allowed all civil servants the right to apply for retirement and the intimation of intention to retire once submitted by a civil servant was final and could not be modified or withdrawn. This right of the civil servant is, however, subject to the provisions of the Essential Services (Maintenance) Act, and is not available to a civil servant against whom a departmental enquiry is pending. The question has, therefore, arisen as to which authority is competent to accept such requests for retirement. It has been decided that requests for retirement of officers of BPS mentioned in column 1 below should be submitted to the Authority mentioned in column 2 for orders:-

Sr. No.	BPS of officers	Authority competent to accept Request for retirement
**(i)	BPS 21 and above.....	Prime Minister. The summary after approval by the Minister concerned would be submitted through the Establishment Division.
**(ii)	BPS 17 to 20	Secretary of the Ministry/Division which administratively controls the cadre or department to which the post belongs.
**(iii)	BPS 16.....	Head of Department.
**(iv)	BPS 1 to 15.....	Head of Department or Head of Office.

[*Authority.-* Estt. Div.'s O.M.No.1/5/73-CV, dated 6-6-1974].

⋆ Prime Minister.

** *Note.*— Competent Authorities may be meant as described under Rule 6(1) &(2) of the (Appointment, Promotion and Transfer) Rules,1973.

(ANNEX I)

[Copy of Establishment Division O.M. No. 1/2/67-CV, dated 06.12.1967]

Subject:- Right to retire on a retiring pension after completing 25 years qualifying service-Policy.

A point has been raised whether or not the approval of the [*]President (where the President is the appointing authority) is required for the termination of services of a [**]Class I officer who opts for retirement in pursuance of paragraph (5) of the Ministry of Finance O.M. No. O.B. 2/12/63-IMP (I), dated the 18th August, 1966 .

2. The point has been examined in the Establishment Division and it has been decided in consultation with the Law Division that it is unnecessary to submit such cases to the President*. Only such cases of officers of and above the level of heads of major departments and Joint Secretaries to the Federal Government may be submitted to the President* for information.

1.2 Retirement on Completion of 25 Years Service – Right to Retire Through Written Intimation

A question has been raised whether a government servant who intends to retire after completing 25 years service qualifying for pension, can submit a written intimation of his intention to retire even before completing 25 years qualifying service.

2. The matter has been examined, in consultation with the Law Division and the Finance Division, and it has been decided that the right to retire from service accrues to a government servant only after he has completed 25 years' service qualifying for pension. As such, he can exercise the said option and submit a written intimation of his intention to retire only after the date of completion of his 25 years' service qualifying for pension. Application for L.P.R[***]., if due, shall also be submitted after that date.

3. If a government servant desires to leave service before completion of his 25 years' service qualifying for pension, he may do so by tendering resignation from service. In that case he will not be entitled to any pensionary benefits.

[Authority.- Estt. Division's O.M. No. 23/2/81-CV (A), dated 12-4-1981].

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[*] Prime Minister
[**] BPS 17 and above.
[***] Leave Preparatory to Retirement.

1.3 Retirement on Completion of 25 Years Service Qualifying for Pension (General Instructions) - Retiring Pension

Subject to the provisions of the Essential Services (Maintenance) Act, 1952, all government servants shall have the right to retire on a retiring pension after completing 25 years qualifying service, provided that a government servant, who intends to retire before attaining the age of superannuation, shall, at least *(Six) months before the date on which he intends to retire, submit a written intimation to the authority which appointed him, indicating the date on which he intends to retire. Such an intimation, once submitted, shall be final and shall not be allowed to be modified or withdrawn. [The right given by this paragraph shall not, however, be available to government servant against whom a departmental enquiry is pending].

[Authority.- Para 5 of the Finance Division's O.M. No. O.B.2/12/63-IMP(I), dated 18-8-1966 as amended vide Finance Div.'s O.M No. OB.2/12/63-Imp. (1), dated 14.12. 1967]].

1.4 Notifying Retirement of an Officer on Attaining the Age of Superannuation

It has come to notice of the Establishment Division that in some cases no notification was issued regarding retirement of the officer who retired from service on attaining the age of superannuation, i.e., the age of 60 years. The absence of a notification regarding the retirement led to delay in payment of the pension and other dues. The matter has, therefore, been considered by the Establishment Division and it is stated that while a notification may not be necessary in the case of officers who attain the age of superannuation for retiring them from service, it is necessary to notify the retirement of such officers to all concerned for the recovery of dues from the officers, if any, and to facilitate payment of pension and other dues of the officers. The Ministries/Divisions are, therefore, requested to ensure that retirement of officers working under them are notified well in time even if the officer concerned does not take leave preparatory to retirement. In case the retiring officer is on deputation with the Ministry/Division or with any of their Attached Departments/ Subordinate Offices and the orders regarding his retirement are to be issued by his parent Ministry/Department, that Ministry/ Department may please be informed of the date of retirement of the officer so that they may issue notification regarding his retirement.

[Authority.- Estt. Division's O.M.No.8/22/75-C.I., dated 26-2-1976].

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* Amended in terms of CSR 907.

Sl. No. 2

Withdrawal of Applications for Premature Retirement

According to "Note 1" below Article 465-B/CSR, a written intimation once submitted by a government servant who intends to retire after completing 25 years service qualifying for pension, shall be final and shall not be allowed to be modified or withdrawn.

2. The matter has been examined, in consultation with the Law Division and the Finance Division, and it has been decided that, in partial modification of the existing rules/orders, if a government servant withdraws his application for premature retirement or modifies the date of retirement, before its acceptance by the competent authority, the application or the date of retirement shall be deemed to have been withdrawn or modified, as the case may be.

[Authority.- Estt. Division's O.M. No. 23/2/81-CV (B), dated 12-4-1981].

2.1 Recall to Duty After Premature Retirement

Attention is invited to Establishment Division's O.M. No.23/2/81-CV(B) dated 12.4.1981 according to which option to withdraw or modify the request for premature retirement is available to a government servant only before the said request is accepted by the competent authority. Requests for premature retirement once accepted by the competent authority, cannot, repeat cannot, be allowed to be withdrawn or modified. Recall to duty after acceptance of request for voluntary retirement amounts to re-employment for which approval of the Prime Minister is required.

2. Ministries/Divisions are requested to bring the above position to the notice of all concerned including their attached departments and subordinate offices, autonomous and semi-autonomous organizations, etc., to ensure strict compliance with the above stated provision.

[Authority.- Estt. Division's O.M. No. F. 14/10/95-R.2 dated 25-8-1996].

Sl. No. 3

Indication of Date of Superannuation of Officers Proposed for Appointment to Tenure Posts

Cases have come to the notice in which some officers, who were about to attain the age of superannuation within a few months time, were recommended for appointment to tenure posts, and in the Summary for the Prime Minister, there was no indication that the tenure of the proposed appointment would last much beyond the age of superannuation of the recommendee. Submission of such proposals to the Prime Minister without indication of date of birth amounts to disguised recommendation for re-employment. The competent authority has viewed the

aforesaid lapse with displeasure and has directed that all proposals entailing to appointment to tenure posts should, besides providing other relevant information, specifically mention the date of superannuation of the recommendee so that the competent authority may be able to exercise conscious discretion in regard to appointing a person to a tenure post involving his retention in public service beyond the date of his superannuation.

[Authority.- Estt. Division's O.M. No.1/134/99-E.6, dated 3-9-1999].

Sl. No. 4

Future Good Conduct of Pensioners

Attention is invited to clause (1) of Article 351 of the Civil Service Regulations which reads as follows :-

> "Future good conduct is an implied condition of every grant of a pension. The Local Government and the Government of Pakistan reserve to themselves the right of withholding or withdrawing a pension or any part of it, if the pensioner be convicted of serious crime or be guilty of grave misconduct."

2. It has been decided that the provision of the above Article should be strictly enforced in all cases by the pension sanctioning authorities. In cases where a pensioner commits misconduct, prompt action should be taken to withhold or withdraw his pension or any part of it.

3. Misconduct in such cases would mean conduct prejudicial to good behaviour or unbecoming of a gentleman. The decision of the President on any question whether any act on the part of the pensioner is misconduct or not shall be final and binding.

[Authority.- Establishment Secretary's D.O. letter No.5/4/73-D, IV, dated 11-8-1973].

4.1 Taking Part in Politics by Pensioners

Attention is invited to clause (2) of Article 351 of the Civil Service Regulations which reads as follows :-

> "(2) Except with the previous sanction of the ⋆Central Government, no pensioner shall, within a period of two years from the date of his/her retirement, take part in any election or engage in political activity of any kind."

2. It would be noticed from the above that the pensioner can participate in political activity within two years of his retirement from service only with the previous sanction of the Federal Government. It has, however, been decided that

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⋆ Federal.

as a matter of policy no permission should in future be granted to any pensioner to engage in political activity of any kind.

3. It may be clarified that political activity would include activities like affiliation with political parties, public speeches, writing articles, giving statements, attending political meetings, making monetary contribution for political purposes etc. This clarification may be brought to the notice of the government servants and also to pensioners who have not yet completed two years from the date of their retirement.

[Authority.- Establishment Secretary's D.O. letter No. 5/3/73-D.IV, dated 31-7-1973].

Sl. No. 5

Grant of Medical Allowance to Civil Pensioners of the Federal Government

The sanction of the President to the introduction of Medical Allowance with effect from 1st July, 2010 to all civil pensioners of the Federal Government including civilians paid from Defence Estimates and Civil Armed Forces at the following rates:—

(i) Pensioners who retired in BPS 1-15 @15% of pension drawn.

(ii) Pensioners who retired/will retire in BPS 16-22 @20% of pension drawn.

2. The medical allowance will be allowed after allowing increases in family pension, pension and minimum pension notified vide following O.Ms:-

i.	No.F2(3)-Reg.6/2010	dated 05-07-2010.
ii.	No.F.4(1)-Reg.6/2010	dated 05-07-2010.
iii.	No.F.15(1)-Reg./2010	dated 05-07-2010.

3. The re-employed pensioners will be allowed medical allowance after allowing increases in pension on notional basis as increases in pension are not admissible to them during re-employment.

4. The existing facility of reimbursement of amounts spent on account of purchase of medicines by the retired Government servants and local purchase of medicines by Government Hospitals for Outdoor Patients (OPD) will be discontinued. However, the existing facilities for consultation and diagnostic investigations at OPD will continue as before. Reimbursement/Local Purchase on account of Cancer, Hepatitis B,C and Insulin dependent diabetes would be admissible for OPD patients. The existing facility of reimbursement of all kinds of expenditure on account of indoor Medical Treatment will continue as before.

[Authority:- Finance Division's O.M.No.F.16(1)-Reg.6/2010-778 dated 5th July,2010].

5.1 Grant of Medical Allowance to Civil Employees/Pensioners of the Federal Government

In partial modification of Finance Division's O.Ms. No. 1(1)Imp/2010-622 and No.F.16(1) Reg-6/2010-778, both of dated 5th July,2010 regarding the subject mentioned above, that it has been decided in consultation with Ministry of Health that serving/retired civil employees of the Federal Government or member of his/her family suffering from the following chronic diseases, will be entitled for reimbursement of amount spent on account of purchase of medicines for the medical treatment at OPD:—

1) Chronic pulmonary-cardiovascular and circulatory disorders.

2) Tumours, malignancies, cancer and chronic blood disorders (Thallasaemias etc).

3) Chronic hepato-renal disorders, organ failure, dialysis and transplants.

4) Chronic neuro-psychiatric diseases, neuropathies, epilepsy, paralysis.

5) Chronic inflammatory-infectious diseases (rheumatoid, arthritis, hepatitis, TB, tetanus etc.)

6) Chronic endocrine disorder(diabetes/goiter pancreatitis etc).

7) Chronic degenerative disorders.

8) Poisoning, dog and snake bite.

9) Drug Abuse, STD,HIV/AIDS, VHF.

10) Chronic skin diseases, allergies-chronic connective tissue and auto immune disorders.

11) Injuries including orthopaedics, burns, gunshot, blast and head injuries.

12) Day surgery (obstetric-gynae disorders, deliveries, cataract and eye/ENT day procedures).

13) Shock, cardiogenic shock, stroke and electrolyte disorders.

14) Treatment for eye, ENT and disabilities/handicaps.

15) Dental treatment.

2. The financial impact arises-out from reimbursement of medical charges in the matter will be met out of the allocated budget for the year 2010-2011 by the respective Ministries/Divisions and no supplementary grant would be given on this account.

3. Ministry of Health will issue necessary instructions for constitution of a Medical Board at each Government Hospital, which will examine the serving/retired Government servant or a member of his/her family and decide suffering from chronic disease, not covered under the above stated list, for reimbursement of medical expenses incurred for the treatment in OPD and their decision shall be final.

[Authority:-Finance Division's O.M. No.F.6(1)R-10/2010-171-2011 dated 24-03-2011].

Clarification for the Grant of Medical Allowance to Civil Employees/ Pensioners of the Federal Government

Refer to Finance Division's O.M. of even number dated 24th March,2011 on the above subject and to clarify that provisions of the said O.M. are applicable to all serving/retired Civil Employees (Gazetted/Non-Gazetted) of the Federal Government with effect from 1st July,2010.

[Authority:-Finance Division's O.M. No. F.6(1)R-10/2010-564 dated 5th July,2011].

5.2 Grant of Medical Allowance to Civil Pensioners of the Federal Government

Refer to Finance Division's O.M.No.F.16(1)-Reg.66/2010-778 dated 5th July,2010 and to state that the Government introduced Medical Allowance with effect from 1st July,2010 to all civil pensioners of the Federal Government including civilians paid from Defence Estimates and Civil Armed Forces.

2. In terms of para-22 of Finance Division's O.M. No.F.1(5)-Imp/2011-419 dated 04-07-2011 it was decided that:-

(i) Medical Allowance admissible to the existing retired Civil Servants in BPS-1 to BPS-15 and BPS-16 to BPS-22 @ 25% and @ 20% of the net pension respectively shall continue to be admissible at the frozen level of its admissibility as on 30-06-2011 till further order.

(ii) All the Civil Servants in BPS-1 to BPS-15 and in BPS-16 to BPS-22, who shall retire on or after 01-07-2011 onwards, shall be allowed Medical Allowance @ 25% and @ 20% of the net pension respectively and shall stand frozen at the same level.

3. Now the President has been pleased to sanction, w.e.f. 01-07-2015 until further orders 25% increase in the amount of medical allowance being drawn by the civil pensioners of Federal Government, civilian paid from Defence Estimates and Civil Armed Forces and to the future retirees on the medical allowance admissible to them at the time to retirement and shall stand frozen at same level.

[Authority:-Finance Division's O.M.No.16(1)-Reg.6/2015-698 dated 07-07-2015].

Sl.No. 6

Traveling Allowance for Journey on Retirement

Grant of T.A. on Retirement of Government Servants Posted in Missions Abroad. The President has been pleased to sanction the grant of T.A. as admissible under the rules on retirement within a period of six months from the date of retirement by approved route to home-based government servants serving in Pakistan Missions abroad and their families from the station of retirement to Pakistan.

2. In the event of the legitimate children of the retiring government servants receiving education at the station of retirement, the T.A. for such children may be claimed within one year from the date of retirement. In either case no T.A. advance is to be paid, instead the Mission will itself arrange necessary tickets and charges for the transportation of personal effects in accordance with entitlement.

3. This issues with the concurrence of the Ministry of Finance vide their U.O..note No. 668-R5/64, dated the 30th March, 1964.

[Authority: Foreign Affairs O.M. No. Rules 4/7/63, dated the 4th April, 1964].

6.1 Revision of Traveling Allowance Rules

The existing rules governing the grant of traveling allowance to government servants on tour and on transfer, etc. within Pakistan were framed long ago and do not conform to the present day conditions, the President has, therefore, has pleased to decide as follows:-

X X X X

TRAVELLING ALLOWANCE FOR JOURNEY ON RETIREMENT

17.(a) A government servant shall be allowed TA to the extent specified below, in respect of the journey from the place of his last posting to his home town, performed during leave preparatory to retirement or on or after retirement.

(i) Actual fare by rail or *air of the class to which he was entitled immediately before his retirement for himself and for each member of his family. For journeys by road between places not connected by rail or *air, mileage allowance shall be allowed.

* Amended vide Finance Division's O.M.No.F.1(5)R-10/2010-98 dated 24-04-2014.

(ii) Cost of transportation of personal effects to the extent admissible to him immediately before retirement for journeys on transfer.

(b) Advance payment for expenditure as at (a) above shall be made and be treated as final payment.

(c) The home town shall be determined according to entries pertaining to the permanent address of the government servant in his service record or according to the declaration, made by him for purposes of leave travel concession.

(d) The term "retirement" shall mean retirement on attaining the age of superannuation, or on completing prescribed service limit, or voluntary retirement on completion of 25 years qualifying service or on invalid pension or compulsory retirement.

X X X X

18. [omitted] X X X X

19. The existing rules and general orders on the subject shall be deemed to have been modified to the extent indicated in the preceding paragraphs.

20. These orders shall come into force from the 1st January, 1973.

[Authority: Para 17 of Finance Division's OM No. F. 2(1)-Rev., 1/72, dated 20-12-1972].

6.2 T.A. for Journey on Retirement - Cost of Transportation of Personal Car/ Motorcycle/Scooter

Reference paragraph 17 of this Division O.M. No. F. 2(1)-Rev.1/72, dated the 20th December, 1972, as amended from time to time.

2. It has been decided that, in addition to the cost of transportation of personal effects prescribed in paragraph 17 of the Office Memorandum referred to above, the cost of transportation of personal car or motor cycle or scooter shall also be admissible for journey to home town on retirement. The cost shall, however, be calculated by road and restricted to the distance by the practicable route.

3. These orders shall have immediate effect.

[Authority:- Finance Division's OM No. 2(3)-R. 9/79-dated 23rd January, 1979].

6.3 T. A. for Journey on Retirement – Determination of Home Town

According to paragraph 17 of this Division's Office Memorandum No. F. 2(1)- Rev. 1/72, dated the 20th December, 1972, a civil servant is entitled to travelling allowance for journey on retirement up to his home town, on the scale and to the extent prescribed therein. The home town for this purpose is determined according to entries pertaining to the permanent address in his service record or according to the declaration made for purpose of leave travel concession.

2. A question has arisen as to how the home town should be determined in cases where the civil servant had no occasion to make a declaration for the purpose of leave travel concession; nor was any entry pertaining to permanent address available in his service records or, where available, the service book/service record shows- a place of permanent residence in territories now forming part of India. It has been decided that the following procedure shall be adopted to regulate such cases:—

(i) Civil servants who have already retired or are on leave preparatory to retirements.—They may be allowed to give declaration to this effect now and granted travelling allowance accordingly.

(ii) Civil servants who are in service.—They may be required to declare their home town within a period of six months from the date of issue of these orders.

[Authority:- Finance Division's O.M. No. F. 2 (42)-R. 9/75, dated the 24th November, 1975].

6.4 Time-Limit for Availing of the Concession of Traveling Allowance After Retirement

Reference paragraph 17 of this Division's Office Memorandum No. F. 2(l)-Rev. 1/72, dated the 20th December, 1972, according to which a retiring civil servant is entitled to claim Travelling Allowance for journey, upto his home town, performed during leave preparatory to retirement or on or after retirement to the extent prescribed therein.

2. It has now been decided that a civil servant who did not avail himself of the concession of retirement T.A. during leave preparatory to retirement, may do so within six months after the actual date of his retirement. If, however, a retired civil servant dies during this period, without having availed himself of the concession, it may be allowed to the family on application to the Head of Department and should be availed of before the expiry of six months from the date of retirement of the deceased government servant or within three months of the date of his death, whichever may be later.

3. It has further been decided that in the case of retired civil servants who are re-employed immediately after, or within six months from the date of their retirement, the time limit prescribed in paragraph 2 above, shall commence from the date on which the period of re-employment concludes.

[Authority:- Finance Division's O.M. No. F. 2 (5)-R. 9/76, dated the 3rd March, 1976].

6.5 T. A. for Journey on Retirement – Admissibility of TA to Employees with Home Towns of *Gilgit Baltistan and Chitral

According to paragraph 17 of this Division O.M. No. F.2(l) Rev. 1/72 dated the 20th December, 1972 a government servant, on retirement, is entitled to T.A. to the extent specified therein.

2. A question has been raised as to what amount of T.A. shall be admissible to employees whose home towns are in *Gilgit, Baltistan, Chitral and therefore, of necessity, they have to perform the journey on retirement, by air. The matter has been considered and it has been decided that in such cases T.A. shall be allowed as under:—

(i) For the portion of journey connected by rail, rail fare of the class of entitlement.

(ii) For the portion of journey connected by road, mileage allowance at prescribed rate.

(iii) Air fare (economy class) for self and family, from the airport of Rawalpindi/Peshawar, as the case may be, upto the airport near the home town;

(iv) and cost of transportation of personal effects **paisas 3 per road mile from the residence at the old station of posting to the residence at his home town, irrespective of mode by which the personal effects are carried.

[Authority:- Finance Division's O.M. No. F. 2(16)-R. 9/77, dated the 29th July, 1977].

6.6 Time Limit for Availing of the Concession of Traveling Allowance after Retirement – Admissibility in Re-employment in Government

Reference Finance Division's Office Memorandum No. F. 2(5)-R9/76, dated the 3rd March 1976, on the subject noted above. A question has been raised as to whether the concession of retirement T.A in case of re-employment is also admissible to retired civil servants who are re-employed in autonomous/ semi-autonomous organizations or private companies. It is clarified that the

*Previously "Northern Areas".

**As per Revised Rates amended from time to time.

concession of retirement T.A. in 'case' of re-employment is admissible only to those retired civil servants who get re-employment in government departments and not to those re-employed in autonomous/semi-autonomous organizations or private companies. It is also clarified that a retired civil servant is entitled to avail of the T.A. concession any time during leave preparatory to retirement or after his retirement but before the expiry of the time limit of six months after the date of retirement. In the case of re-employment during leave preparatory to retirement or within six months from the date of retirement, a retired civil servant can avail of the concession any time before the termination of his re-employment or within a period of six months from the date on which his re-employment period ends.

[Authority:- Finance Division's O.M. No. F. 2 (28-R.9/80; dated the 10th March, 1981].

6.7 Revision of Transfer Grant, Transportation of Motorcar/ Motorcycle/Scooter and Mileage Allowance

Reference Finance Division's O.M. No. F.2(1)-Rev.I/72 dated the 20th December, 1972, on the above mentioned subject, as amended from time to time. It is stated that the President has been pleased to decide that the existing rates of Transfer Grant, Transportation of Motor Car/Motorcycle/Scooter by road and the Mileage Allowance shall be revised with immediate effect, as under:-

(I) TRANSFER GRANT

(i)	Employees having family	One month's pay.
(ii)	Employees not having a family	Half month's pay.

Note: (i) Transfer TA is admissible where change of residence is involved in consequence of change of headquarters.

(ii) Transfer grant is admissible only where breaking-up of the house hold establishment at the old station and setting up of the house hold establishment at new station takes place, and a certificate to this effect is recorded on the Transfer TA bill by the Government servant concerned duly countersigned by the controlling officer (No.F.2(34)-r.9/84-999/84, dated 30.09-1984).

[Authority:- Finance Division's O.M. No.F.1(2)-Reg.10/2005, dated 10th September, 2005].

*(II) TRAVELLING AND MILEAGE ALLOWANCE

Transportation	Previous	Existing
(i) Motor Car	Rs. 2/- k.m.	Rs. 5/- per k.m.
(ii) Motor Cycle/Scooter	Rs. 1/- per k.m.	Rs. 2.5/- k.m.
Mileage Allowance		
(i) Personal Car/Taxi	Rs. 5/- per k.m.	Rs. 10/- pr k.m.
(ii) Motor Cycle/Scooter	Rs. 2/- per k.m.	Rs. 4/- per k.m.
(iii)Bicycle/Animal back/ foot	Rs. 1/- per k.m.	Rs. 2/- per k.m.
(iv) Public Transport	Rs. 1/- per k.m. (BPS-6 and below). Rs. 1/- per k.m. BPS-7 and above).	Rs. 2.5/- per k.m. Rs. 2.5/- per k.m.
Travel by Air	Govt. servants in BPS-17 and those in receipt of pay of Rs. 54000 and above.	Govt. servants in BPS-17 and above.
Carriage of Personal effects on Transfer/ Retirement	Rs. 0.008 per k.m. Per k.g.	Rs. 0.02 per k.m. per k.g.

(ii) Government servants shall be allowed to use the mode of transport as shown below:—

Mode of Transport	Category of Government servants
Personal car, borrowed car, hiring of a full taxi.	Officer of Category I. In the case of others, a taxi may be engaged, if the urgency of the situation so demands, with the approval of the controlling officer.
Personal Motor Cycle/Scooter.	Category I and II.
Bicycle etc. and public transport plying for hire single seat basis.	All Government servants.

[Ministry of Finance O.M. No. F. 2(1)-Imp. 1/77, dated the 29th April, 1977.]

It has been decided to reimburse the toll tax on Motor Way paid by an officer while travelling in an official vehicle on official duty/tour on production of original receipt in token thereof. *It has also been decided to allow reimbursement of the Toll Tax on Motor Way paid by an officer while travelling on official duty/tour by his own car subject to production of original receipt in token thereof.

[*Authority:*—Finance Division's O.M. No. 1(5) R. 9/98-345, dated 13th March, 2002.]

* Revised vide Finance Division's O.M No. F.1(3)/Imp/2012 dated 16-07-2012.

II. RE-EMPLOYMENT

Sl. No. 7

Employment after Retirement- Policy and Procedure – Re-employment after Superannuation

It has been noticed that Ministries/Divisions initiate proposals for re-employment of government servants after superannuation as a routine measure. It is emphasized that re-employment beyond superannuation should be an exception and not the rule. It may be recommended only in cases where government considers that the experience gained by the retiring person is of vital importance and can be gainfully utilized, particularly in fields where suitably qualified and experienced persons are not available.

2. For achievement of the objective mentioned above, the present government has framed a policy for re-employment of government servants and cases for re-employment would, in future, be considered in accordance with the following criteria:

(i) non-availability of suitably qualified or experienced officers to replace the retiring officer;

(ii) the officer is a highly competent person with distinction in his profession/field;

(iii) the re-employment does not cause a promotion block; and

(iv) retention of the retiring officer, for a specified period, is in the public interest.

This policy would also apply to government controlled corporations and other autonomous bodies.

3. Proposals for re-employment are required to be accompanied with the following documents/information:-

(a) the proposal duly signed by Secretary or Additional Secretary Incharge of the Ministry concerned to be received in the Establishment Division 6 months before the officer is due to attain the age of superannuation and has the approval of the Minister Incharge;

(b) the steps taken to train the substitute, if any;

(c) PERs with photograph, ICP chart and bio-data on prescribed proforma; and

(d) certificate that the officer is medically fit.

4. Re-employment beyond the age of superannuation in all cases requires the approval of the Prime Minister.

5. It is requested to instruct all concerned in Ministries/ Divisions and Attached Departments/autonomous bodies to strictly follow the guidelines given above.

[Authority.- Establishment Secretary's D.O. letter No.7/3/ 89-OMG-II dated 28-01-1989].

7.1 Re-employment of Civil Servants After Compulsory Retirement or Termination of Service

A person, whose services have been terminated as a result of a disciplinary action against him, or retrenched due to winding up of an organization (where he was serving) on grounds of its having been set up irregularly, will not be re-employed without obtaining the orders of the President*.

2. Such cases for re-employment of persons, in all **grades, both in government service and corporations etc., should be submitted by the Ministry concerned (together with its recommendations and bio-data of the proposed person), through the Establishment Division, to the *President for orders. Such a proposal shall be made in the form of a "Summary", containing the approval of the Minister-in-charge, and signed by the Secretary or Additional Secretary Incharge.

3. Ministries/Divisions are requested to bring these instructions to the notice of all Attached Departments/Subordinate Offices/Corporations *etc.* under their administrative control, for information and necessary action.

[Authority.- Estt. Division's O.M. No. 2/6/78-CV, dated 08-1-1979].

7.2 Re-employment During Refused L.P.R

A question has arisen whether a government servant, whose L.P.R. has been refused, should be recommended for re-employment on the same post, after superannuation.

2. It has been decided that as a matter of policy, re-employment, beyond superannuation, may not be initiated as the period of refused L.P.R. gives ample time to find out replacement of the retiring officer. In exceptional cases, where re-employment beyond superannuation is inevitable, the reasons therefor may specifically be brought out in the "Summary for the *President".

3. Ministries/Divisions may please bring these instructions to the notice of the autonomous bodies/corporations etc.

[Authority.- Estt. Division's O.M. No. 3/60/81, dated 17-11-1982].

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* Prime Minister.
** BPS.

7.3 Re-employment after Superannuation by Corporations/ Autonomous Bodies

It has time and again been stressed that the approval of the President* would be necessary in all cases of re-employment after the age of superannuation in government as well as in the autonomous bodies. In this connection attention is invited to Establishment Secretary's D.O. letter No. 8/l/72-CV, dated 29-5-1972 and Establishment Division O.M. No. 2/2/78-CV, dated 24-12-1978. According to these instructions the age of superannuation of all government servants should be 60 years and this should apply equally to government controlled corporations/ autonomous bodies etc. and if such organizations have prescribed age beyond 60 years they were required to amend their recruitment/service rules and inform the Establishment Division of compliance. It was abundantly made clear that in case no communication was received, it would be assumed that the age of superannuation, as prescribed in their rules, is 60 years.

2. Contrary to the explicit instructions referred to above, it has come to notice that corporations/autonomous bodies have been re-employing persons after the date of superannuation without obtaining prior approval of the President.

3. It is, therefore, reiterated that no person who has already attained the age of 60 years should be allowed to be in employment without obtaining prior approval of the President*.

[Authority.- Estt. Division's O.M. No. 2/48/84-ABC dated 23-1-1985].

7.4 Cabinet Decision Regarding Re-employment

The Cabinet in its meeting held on 12-11-1990 has decided that no re-employment beyond the age of superannuation should be allowed except in very exceptional cases for which approval of the Prime Minister would need to be obtained.

2. This decision is also applicable to autonomous bodies/semi-autonomous bodies and may please be brought to their notice for strict compliance.

[Authority.- Estt. Division's O.M. No.4/2/90-R.I dated 5-12-1990].

7.5 Re-employment beyond Superannuation in Unavoidable Cases

The Ministries/Divisions are advised not to initiate cases of re-employment of civil servants beyond the age of superannuation unless that is considered unavoidable due to non-availability of his replacement and the importance and sensitivity of the job which must be clearly brought out while initiating any such proposal.

[Authority.- Estt. Division's O.M. No.4/1/93-R.I dated 27-8-1995].

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* Prime Minister.

Sl. No. 8

Continuation in Service Beyond Superannuation

The Prime Minister has taken serious notice of cases in which civil servants were allowed to continue in service beyond the date on which they attained the age of superannuation or completed the specified period of their re-employment on contract simply on the grounds that proposals for their re-employment beyond the age of 60 or beyond the period of re-employment had been submitted or were being submitted. This practice is in violation of government's clear instructions issued time and again. In this connection, attention is invited to circular (d.o. letter No. 4/1/84-R.I dated 20-6-1984).

2. The procedure for employment of civil servants after retirement should be strictly followed. It should particularly be ensured that all proposals for re-employment beyond the age of 60 or for extension of the period of current re-employment are made at least 6 months before the date of attaining the age of superannuation or the date of expiry of the current period of re-employment, as the case may be.

3. In case a proposal for re-employment has been submitted and no decision has been received by the date on which the civil servant concerned attains the age of 60 or completes the current period of re-employment, it is the responsibility of the head of office to ensure that the civil servant relinquishes the charge on such date.

[Authority.- Establishment Secretary's D.O. No. 4/1/84-R.I, dated 8-8-1985].

8.1 Requirements for Re-employment beyond Superannuation

In continuation of the Establishment Division's Office Memorandum No.2/2/78-CV, dated the 24th December, 1978, it is re-emphasized that re-employment of government servants beyond superannuation is allowed in exceptional cases to meet the shortage of experienced and competent persons where replacements from present cadres are not available. Proposals for re-employment, to be submitted by the Ministry concerned through the Establishment Division to the [*]President, are to indicate reasons for non-availability of substitute, steps taken to train a substitute and that the re-employment/extension is not likely to block the promotion prospects of other officers. The instructions have been circulated in our Office Memorandum referred to above under which detailed information is required to be provided alongwith the proposal for re-employment.

2. It is requested that while submitting Summaries for re-employment/ extension in re-employment, detailed information may also be furnished on the prescribed proforma attached as Annex.

[Authority.- Estt. Division's D.O. letter No. 5/10/83-E.4, dated 23-4-1983].

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[*] Now Prime Minister.

(ANNEX)

BIO-DATA FORM

(TO BE USED IN RE-EMPLOYMENT CASES)

1. (Name of the Officer) ……..

a. *Grade……

b. Date of Birth & Age on
(Years months days)
…… …… ……

c. Date of joining & Length of Service
(Years months days)
…… …… ……

d. Date of Re-Employment (approved earlier) (Only
……in case of extension in Re-employment period).

e. Total PERs V.Good Good Average Below Average
(Years to be shown against Average & Below Average PERs)
……..…….. …….. …… …… …….

NOTE:

(1) Any missing PERs with reasons
(2) Photo of the officer affixed in the CR dossier or not, if not affixed.

f. Adverse Remarks in the PERs
g. Service (Showing Appointment Held)

2. Promotion in Blockade (Indicate if Promotion blockade is created due to his re-employment).

* BPS/Post.

8.2 Need for Re-employment beyond Superannuation

Re-employment of government servants beyond superannuation is to be recommended in exceptional cases particularly to meet the shortage of experienced and competent persons where replacement from the existing cadres is not available.

2. The Prime Minister has been pleased to observe that no case for re-employment/extension in re-employment should be put up unless specifically asked for.

[Authority.- Estt. Division's D.O. letter No.1/2/90-D.S. dated 07-3-1990].

8.3 Continuation of Contract Appointment/ Re-employment Without Approval

It has been observed by the Establishment Division that officers appointed on contract or serving on re-employment and secondment in the Federal Government continue in their posts after the expiry of their tenure without specific orders of the competent authority.

2. All Ministries/Divisions are requested to please adhere to the instructions issued by the Establishment Division and not to allow any officer to continue in service beyond the age of superannuation or contractual appointment without the prior approval of the competent authority.

[Authority.- Estt. Division's O.M.No.4/1/84-R.I, dated 2-9-1990].

8.4 Guard Against Unauthorised Overstayal after Superannuation/on Expiry of the Period of Contract Re-employment

It has been observed by the Establishment Division in certain cases that officers on superannuation or on expiry of contract re-employment continue in office which is violation of the existing instructions issued on the subject from time to time. Attention is invited to this Division's D.O. letters No. 5/10/83-E-4, dated 23-4-1983, No.4/1/84-R.1, dated 20-11-1986, O.M.No.4/1/84-R.1, dated 2-9-1990 and O.M. No.4/2/90-R.1, dated 5-12-1990.

2. In view of the above, all the Ministries/Divisions are requested to ensure that the instructions already issued by the Establishment Division are complied with in letter and spirit and no officer is allowed to continue in office after superannuation/on expiry of the period of contract re-employment unless prior approval of the competent authority is obtained in advance. In case of unauthorized overstayal, the financial liability for such an irregularity shall rest upon the head of the department and the officer concerned himself.

3. If it is intended to get the retiring person re-employed on contract in public interest or to get his contract extended, a proposal in the form of a summary for the Prime Minister should be submitted to Establishment Division about six months in advance from the date of his retirement from service/expiry of the contract so that Establishment Division could have sufficient time to process it properly.

4. The proposal for re-employment on contract/extension in contract should invariably contain the following information:-

(a) A brief report on the performance of the officer during the period of his contract re-employment (only for the cases for extension in contract).

(b) Certificate that the proposed re-employment/ extension in contract will not create promotion blockade for the departmental officers.

(c) Steps taken to train a substitute of the officer and a statement of circumstances in which no officer could be groomed to take up the assignment.

5. No request for grant of ex-post-facto approval to the contract re-employment/extension in contract, in any circumstances, will be entertained.

6. All the Ministries/Divisions are requested to strictly abide by the above guidelines. If a proposal, floated on the subject, either fails to give adequate information, as mentioned above or is not received in the Establishment Division in time, the same will be liable to be summarily rejected by the Establishment Division and will not be processed further.

7. All the Ministries/Divisions are requested to bring the above instructions to the notice of the Attached Departments/ organizations for strict compliance.

[Authority.- Estt. Division's O.M. No.3/16/99-CP-6, dated 26-5-1999].

Sl. No. 9

Request for Re-employment by Officers Retired Voluntarily

As per existing policy of the government, re-employment of retired civil servants beyond superannuation is not encouraged except in cases when a civil servant possesses such expertise that his services are irreplaceable.

2. The Prime Minister has been pleased to decide that requests for re-employment of ex-civil servants, who have voluntarily retired from service, shall be summarily rejected. Ministries/Divisions are advised not to initiate any such proposal in future.

[Authority.- Estt. Division's O.M. No.4/1/96-R.I, dated 16-11-1996].

Sl. No. 10

Ex-Government Servants (Employment with Foreign Governments) (Prohibition) Act, 1966 (Act No. XII of 1966)

An Act* to prohibit ex-Government servants from seeking or taking up employment with a foreign Government or foreign Agency.

WHEREAS, in the interest of the security of Pakistan, it is expedient to prohibit Ex-Government Servants from seeking or taking up employment with a foreign Government or foreign agency;

AND WHEREAS the national interest in relation to the security of Pakistan requires Central legislation in the matter under clause(2) of Article 131 of the Constitution;

It is hereby enacted as follows:-

1. **Short title, extent and commencement.**– (1) This Act may be called the Ex-Government Servants (Employment with Foreign Governments) (Prohibition) Act, 1966.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. **Definitions**.– In this Act, unless there is anything repugnant in the subject or context,–

(a) "ex-Government servant" means any person who was, at any time, appointed or employed as an officer or servant of the **Central Government or a Provincial Government and has ceased to be so appointed or employed;

(b) "foreign agency" means any office or establishment of the diplomatic or consular representative of a foreign Government by whatever name called and includes any information, public relations, trade or commercial agency, service, centre or foundation established or maintained by any such Government or by any person who is a national of a foreign country; and

(c) "foreign Government" means the Government of a foreign country.

3. Prohibition of employment, etc.– (1) No ex-Government servant shall, except with the previous permission in writing of the Federal Government or a person ***[or authority authorized by it in this behalf] seek or take up employment as an officer or servant of a foreign government or a foreign agency.

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* Article 241, Constitution of Pakistan, 1973 provides for continuance in force of laws, rules and orders consistent with the provisions of the Constitution, 1973.

** Now Federal.

*** Section 3, as amended vide Ordinance No. XXIX of 1984, dated 27-6-1984.

(2) No ex-Government servant who is, at the commencement of this Act, in the service of a foreign government or a foreign agency shall, except with the permission in writing of the *Central Government, continue in such service after the expiry of three months from such commencement.

[4. **Penalty.– Whoever contravenes the provisions of section 3 shall be punishable with imprisonment for a term which may extend to seven years, or with fine which may extend to fifty thousand rupees or with forfeiture of property, or with any two or more of the said punishments].

[Authority.- The Act Published in the Gazette of Pakistan Extraordinary Part-I, dated 7-7-1966].

10.1 Ex-Government Servants Employed by UN Agencies

Ex-Government servants employed by U.N. or its agencies are not affected by the Ex-Government Servants (Employment with Foreign Governments) (Prohibition) Act, 1966 (Act No.XII of 1966).

[Authority.- Para 3 of Ministry of Foreign Affairs Circular No. SS (A) EGS/66, dated 17-12-1966].

10.2 Production of Certificate of Physical Fitness by Retired Government Servants on Re-employment to Gazetted Posts

Under S.R.4-A (6), retired government servants re-employed immediately after retirement are exempted from producing medical certificate of health. It has, however, been noticed that the appointing authorities do not insist upon the production of a medical certificate even where there has been a break between the retirement and re-employment of the government servants. The attention of the Ministries/Divisions is drawn to the provisions of the said rules and it is stated that the medical certificate of health should be obtained in all cases in which an interval occurs between government servant's retirement and re-employment.

[Authority.- Estt. Division's O.M. No. 5/5/49-Ests. (SE), dated 23-8-1949].

10.3 Re-employment and Medical Examination

The orders contained in the Ministry of Finance Office Memorandum No. 20-F. 38(I) RI/(2)/54, dated the 17th August, 1954 (Annex) also apply to the cases of re-employment to Gazetted posts when an interval occurs between the retirement and re-employment of a government servant. A medical certificate of

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* Now Federal.

** Subs. vide Ordinance No. XI of 1982, dated 18-5-1982.

health is necessary in such cases under the orders contained in the Establishment Division Office Memorandum No. 5/5/49- Ests. (SE), dated the 23rd August, 1949.

[Authority.- Estt. Division's O.M. No. 15/28/ 54-SEII, dated 4-5-1955].

(ANNEX)

[Copy of Finance Division O.M. No. 20-F. 38(I) RI/(2)/54, dated the 17th August, 1954].

The question has been raised whether candidates appointed direct to Gazetted posts under Central* Government should be examined by a Medical Board or by a Civil Surgeon. Since those orders are not clear on some points the question has been reconsidered and it has been decided that –

(i) All persons not already in service under the Federal Government should be required to undergo medical examination. The examination should be by a Medical Board if the post is permanent, or quasi-permanent or is likely to last for more than a year and by a Civil Surgeon if the post is likely to last for not more than a year. If an appointment initially made for a period not more than a year is subsequently extended beyond that period, the person concerned should be required to undergo medical examination by a Medical Board.

(ii) Persons already in temporary service under Federal Government whether in Gazetted or non-Gazetted posts will also be subject, *mutatis mutandis*, to the general rules in (i) above; provided that any person appointed to a post not likely to last for more than a year who has already been medically examined by an authority not lower than a Civil Surgeon in respect of a previous post need not undergo examination again until and unless the period of the post is extended beyond one year. If such a person has already been examined by a Medical Board in respect of his previous appointment and if standard of medical examination prescribed for the new post is the same, then he need not be required to undergo a fresh medical examination before confirmation.

(iii) A person, who is already permanent or quasi-permanent in a post under the Federal Government, need not be medically examined on appointment to a Gazetted post; provided that if the new appointment is not in normal line of promotion of the person concerned and requires a different medical standard from that required in his permanent or quasi-permanent appointment or the rules for recruitment to the new appointment prescribe a fresh medical examination in respect of all candidates, he shall undergo a fresh

* Federal

medical examination by the prescribed standard and by the prescribed medical authority.

2. These orders will not have retrospective effect and cases already decided need not be re-opened.

3. These orders do not apply to the medical examination of persons recruited through competitive examinations held by the Federal Public Service Commission, the rules for which make separate provision for the purpose.

Note:- The above orders also apply to female candidates appointed to Gazetted posts vide Establishment Division letter No. 1/15/58-SEI, dated 27-5-1958, reproduced at Serial No. 5 of Part IV of the Ministry of Finance's Compilation of General Orders (2nd Edition).

10.4 Fixation of Pay and Allowances of Re-employed Government Servants – Principles for Fixation of Pay

The question of formulating a uniform policy in regard to the fixation of pay of retired government servants re-employed under the Government of Pakistan and in autonomous bodies had been under the consideration of the Ministry of Finance for some time past. The President has now been pleased to decide that, in supersession of all previous orders on the above subject, the pay of retired government servant on re-employment shall be fixed in accordance with the following principles:-

(i) Where the new post carries a fixed pay, he should be allowed the pay of that post less pension.

(ii) Where the new post carries a time-scale of pay:-

(a) If the substantive pay last drawn by the officer before retirement was less than the minimum of the scale of the new post, he should be allowed the minimum of the scale less pension.

(b) If the substantive pay last drawn was more than the minimum of the scale but less than the maximum of the scale of the new post, his pay should be fixed at the stage in the scale corresponding to the pay last drawn, or if there be no such stage, at the next lower stage in the scale. From the pay so fixed the amount of pension should be deducted.

(c) Where the substantive pay last drawn was more than the maximum of the scale of the new post the pay should be fixed at the maximum less pension.

(iii) A re-employed government servant should earn increments in all cases where pay has been fixed in a scale at a stage lower than the maximum.

(iv) In case a re-employed pensioner is promoted to a higher post, his pay should be fixed in such a manner as if he was a serving officer with the difference that from the pay so determined the pension would be deducted.

(v) In a case where officiating pay higher than the substantive pay was drawn for a continuous period of 3 years or more immediately before retirement, the officiating pay drawn before retirement may be treated as substantive pay for the purpose of these orders.

2. The above principles should be made applicable to employment in autonomous bodies and public limited companies in which government holds controlling shares.

3. These principles should be followed in case of appointments to statutory posts as those of Governors, Speakers, Ministers etc. A retired official appointed to any statutory post should draw the pay of the post less the amount of pension drawn by him.

4. The pay of the retired military personnel, re-employed in civil posts, may also be fixed in accordance with the above principles. In their case substantive pay shall also include the following elements; provided that they were drawn before retirement/release/leave/leave pending retirement for a continuous period of 3 years or more:-

(a) Command/Staff/Charge Pay.

(b) Instructional pay.

(c) Qualification pay.

(d) Disturbance Pay.

5. The word ‘pension' wherever used in these orders means pension before commutation and/or surrender.

6. These orders will have effect from the date of issue of this Office Memorandum.

[Authority.- Finance Division’s O.M. No.F. 4(7)-Regs.7/72, dated 1-1-1973].

10.5 Grant of Allowances During Re-employment/ Contractual Appointment

The queries have been received from different quarters about the payment of Orderly Allowance, Senior Post Allowance and Qualification Allowance (where admissible) during re-employment/contractual appointment. It is clarified that these allowances are not admissible during re-employment/contractual appointment because:-

(1) 100% Orderly Allowance is already included in pension, as Special Additional Pension.

(2) Similarly, Senior Post Allowance also forms part of pension. Moveover, this allowance is admissible to civil servants: whereas a contractual appointee is not a civil servant.

(3) Qualification Pay also forms part of pension. This has been examined many times in the past. The view has been:

"QP is not admissible because, the philosophy at the time of its introduction was to encourage the government officers in service to do the higher courses and was made a condition for future promotion. It was meant as an incentive for government's regular, permanent officers who are in service. Moreover, the Qualification Pay is counted towards pension. As such, there can not be two benefits at the same time, as the officer was already drawing."

2. If these allowances are again granted on re-employment, it will amount to duplication. This policy is being kept in mind while vetting the terms and conditions of contractual appointments and the payment of the above discussed allowances is not allowed to retired government servants.

[Authority.- Finance Division's O.M. No. 5(4)R-3/96 dated 16-4-1996].

10.6 Fixation of Pay of Retired Government Servants Civil/Military Re-employed under the Government and in Autonomous Bodies

The question of fixation of pay of retired government servants, civil and military, on re-employment in civil posts under Federal Government and in autonomous bodies has been reviewed by government and the President has been pleased to decide that re-employment and re-employment pay of retired government servants shall henceforth be regulated in accordance with the following principles:-

(I) Post on which re-employment shall be made

(i) Re-employment of retired civil servants shall be made in *grades equivalent to substantive *grade or temporary *grade if held for one year by the government servant before retirement.

(ii) In the case of officers of armed forces, re-employment shall be made on contract in accordance with the instructions contained in the Establishment Division O.M. No. 14/5/78-D. III, dated 10-2-1980 in the case of civil posts and in the light of orders issued in pursuance of the Establishment Division No.14/5/78-D.III, dated 11-2-1980 in the case of autonomous bodies. The equivalent grade in the civil post shall be determined according to the equivalence formula approved by the President.

(II) Pay on re-employment under clause (I) above.

(i) (a) When a retired civil servant is re-employed under Federal Government after superannuation or after completion of 30 years pensionable service, his initial pay shall be fixed at the minimum of the pay scale of the post in which he is re-employed.

(b) When a retired civil servant is re-employed under the government owned/controlled autonomous/ semi-autonomous bodies and corporations after superannuation or after completion of 30 years pensionable service, the initial pay of such a government servant shall be fixed at the minimum of the scale of pay of the post in which he is re-employed.

(c) A re-employed government servant would earn increments under normal rules.

(d) In addition to pay, as indicated in clause (a) and (b), full pension shall be admissible to the re-employed civil servant.

(ii) (a) When a retired military officer of the rank of Major/ equivalent and above is re-employed under Federal Government or under an autonomous body in accordance with clause I (ii), his pay may be fixed at the minimum of the equivalent grade in which re-employment is made and,

* BPS.

in addition, full service pension as admissible under the rules shall be paid. The pay scale of the post shall for this purpose be determined with reference to the equivalence formula mentioned in Clause I (ii).

(iii) The pay of retired government servants other than those covered by I & II shall be fixed in accordance with the Ministry of Finance O. M. No. F. 4(7) Reg. 7/72, dated 1-1-1973 referred to above, as amended from time to time.

2. Existing re-employed retired civil servants may opt to be governed by the existing rules/orders or by the revised orders in this Office Memorandum. Where such a government servant opts to be governed by the revised orders, his initial pay should be re-fixed at the minimum of the scale of the post held by him with effect from the 1st of the month in which option is given and pension may be allowed in addition as provided in part (II) (i) above.

3. Existing retired officers of the armed forces of the rank of Major/equivalent and above who were re-employed in civil posts for a specified period may opt either to be governed by their existing terms and conditions or by the revised orders in this Office Memorandum. Where such re-employed officers opt to be governed by the revised orders, they will be brought on the revised terms and conditions with effect from 23rd December, 1979 on which date the President was pleased to approve the scheme published vide Establishment Division O.M. No.14/5/78-D. III, dated 10-2-1980. From that date, their re-employment would be converted into re-employment on contract on the terms and conditions laid down in the O.M. of 10-2-1980 for the remaining term of their re-employment or for a period of 3 years, whichever is less. Their pay will be re-fixed at the minimum of the scale of the post held by them w.e.f 23-12-1979, and if the pay so fixed plus pension is less than the pay received by them immediately before 23-12-1979, the difference shall be allowed as personal pay to be absorbed in future increase of pay.

4. The option will be submitted to the Audit Officer concerned under advice to the Ministries/Divisions, Departments or offices administratively concerned.

[Authority.- Finance Division's O.M. No.F.4(4)-Reg.7/78 dated 20-3-1980].

10.7 Principle of Equivalence – Defence Services and National Pay Scales

The President has been pleased to approve the following `principle of equivalence' between the rank held in the Defence Services with appointment in *National Pay Scales.

* Basic Pay Scales.

Defence Service Rank	
Major General and equivalent	*Grade-21 or 22 at the discretion of the Government.
Brigadier and equivalent.	*Grade-20.
Colonel and Lt. Colonel (with 18 to 20 years commissioned service) and equivalent.	*Grade-19
Major and equivalent.	*Grade-18
Captain and equivalent and Lt. 2/Lt. and equivalent.	*Grade-17

[Authority.- Estt. Division's Circular No. 16/4/79-AV, dated 8-8-1979].

Sl. No. 11

Re-employment – Pay Fixation

Reference sub-clauses (i) (b) and (ii) (a) of clause II of para 1 of this Division's O.M. No. F. 4(4) Reg. 7/78, dated 20th March, 1980 laying down the method of fixation of pay of retired civil and military officers on appointment to posts in government owned/controlled autonomous and semi- autonomous bodies. The position has been further reviewed with particular reference to re-employment against a post in an autonomous/semi-autonomous body or corporation included in Management *Grades vide Finance Division O. M. No. F. 6(27) Imp. I/79, dated 30th April, 1980, and appointment to which is, by law, required to be made and the salary of which is required to be fixed, by the Federal Government. It is clarified that in the case of such re-employment, the re-employed officer, civil or military, shall be entitled to draw minimum of the rank/*grade from which he has retired. In addition, he will be entitled to pension and pre-requisites attached to the management post concerned.

[Authority.- Finance Division's O.M.No.F.4(4)-Reg.7/78-1520, dated 30-11-1980].

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* For Grade, read 'BPS'.

11.1 Re-fixation of Pay After Introduction of Revised National Pay Scales

Under the existing orders, the pay of a retired government servant who has been re-employed under the Federal Government or in an autonomous body or public limited company in which government holds controlling shares and who has not attained the age of 60 years, is required to be fixed after taking into account the amount of gross pension, *i.e.* pension before commutation and/or surrender. Consequent upon the liberalisation of pension rules for civil servants vide Finance Division O.M. No. F. 6(I)-Rev. 1/75, dated 7-1-1977 the amount of gross pension in the case of existing pensioners is also required to be enhanced with effect from 1-2-1977 in accordance with the provisions of paras 3 and 8 of the above mentioned O.M., with resultant adjustment in the pay.

[*]2. It has been decided that, consequent upon the introduction of Revised National Scales of Pay, the pay of retired government servants re-employed since before 1-5-1977 who have been drawing, or may elect to draw, pay in, or with reference to the National Scales of Pay shall, with effect from 1st May, 1977, be fixed in the relevant revised National Scales of Pay in the manner indicated below:-

(i) In the case of a re-employed government servant who has not attained the age of 60 years on 1-5-1977, the initial pay in the relevant Revised National Scale of Pay shall be fixed at the stage equal to, or if there is no such stage, at the stage next above, the amount arrived at by allowing an increase of 10% over the aggregate of the basic pay, which for this purpose shall be taken as inclusive of gross pension, *i.e.* pension before commutation and/or surrender, and the dearness allowances that would have been admissible thereon, but for these orders, on the 1st May, 1977. The pay so re-fixed shall then be reduced by the amount of gross pension and the amount of pension will continue to be drawn separately in addition to the pay so determined, subject to the condition that pay plus pension shall be limited to the maximum of the Revised National Scale of pay or the last pre-retirement substantive pay inclusive of dearness allowances, whichever is more.

(ii) In the case of a re-employed government servant who has already crossed the age of 60 years before 1-5-1977 and is thereby entitled to draw pension in addition to pay of the post vide this Division O.M. No.F.4(3)-R.7/76, dated 17-2-1976 **(Annex)**, the initial pay in the relevant Revised National Scale of Pay will be fixed as in (i) above on the basis of the pay he is entitled to draw in accordance with the above mentioned O.M., together with the dearness allowances subject to the pay so fixed not exceeding the maximum of the Revised National Scale of Pay. The amount of pension shall not

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[*] Subs*. vide* Finance Division's O.M.No.F.1(4)Imp/77 dated 30-7-1977.

figure in the calculation anywhere and shall in his case continue to be drawn separately in addition to the pay so fixed.

3. When the pay of an existing re-employed government servant is fixed in the revised National Scale of Pay, the amount of Dearness Allowance, Special Dearness Allowance and Additional Dearness Allowance shall cease to be admissible with effect from 1st May, 1977.

4. In the case of a retired government servant employed on or after 1-5-1977, the initial pay shall be fixed in the revised National Scale of Pay in accordance with the relevant orders for the time being in force, provided that the last pre-retirement pay in his case would be taken as inclusive of the amount of Dearness Allowance, Special Dearness Allowance and Additional Dearness Allowance, actually drawn or which would have been drawn, on the date of retirement.

5. For the purpose of grant of allowances, the pay or basic pay on which the allowances are to be calculated would, in addition to actual pay drawn, also include the amount of gross pension which had been taken into account for the purpose of determination of pay during the period of re-employment.

[Authority.- Finance Division's O.M. No. F. 1(4)-Imp.11/77, dated 14-5-1977].

(ANNEX)

[Copy of Finance Division O.M. No. F. 4(3)-R. 7/76, dated the 17th February, 1976].

SUBJECT:- Fixation of Pay, of Retired Civil Servants Re-employed in the Government of Pakistan and in Autonomous Bodies.

A reference is invited to the Finance Division's O. M. No. F. 4 (7)Reg. 7/72, dated the 1st January, 1973 read with O.M. No. F. 4(6)-Reg. 7/73, dated the 22nd August, 1974 and it is stated that according to the instructions issued therein, the salary of a re-employed pensioner, as determined with reference to the scale of pay of the post to which he is appointed, is to be reduced by the amount of his gross pension. The position has been further reviewed and it has been decided that, in partial modification of the instructions referred to above, a retired civil servant who is re-employed after, or continues to be re-employed beyond, the age of 60 years, he may, with effect from the date of his appointment or of attaining the age of 60 years, as the case may be, allowed to draw his pension in addition to the pay of the post.

2. The above decision will be applicable to retired government servants appointed to posts, other than statutory posts, under government or in autonomous bodies and public limited companies in which government hold controlling shares.

3. The pay of the existing re-employed pensioners of the above categories shall be re-fixed in accordance with these orders with effect from the date of issue of this Office Memorandum.

11.2 Leave Salary Admissible During Re-Employment

The government servants who proceed on leave preparatory to retirement on voluntary premature retirement on proportionate pension on completing 25 years of qualifying service and re-employed during LPR under the ⋆Central or a Provincial Government or in an autonomous or semi-autonomous corporation or body set up by or under the control of the *Central or Provincial Government or in a local body or Local Fund, will be entitled to leave salary, which shall be restricted to the amount of anticipated pension in accordance with Government decision below F.R. 69.

[Authority.- Finance Division's O.M. No. F.2(59)-R.I/79, dated 22-7-1979, read with O.M. No. F. 2(59)-R.I/79, dated 5-7-1980].

⋆ Federal.